

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

The release of this audit program to parties external to IBM requires the written approval of the Chief Auditor.

This program is intended as a guide for assessing risk management in this process through the performance of an audit or a similar engagement. Risk management is the process to identify, manage, and control potential events in order to provide reasonable assurance related to the achievement of IBM's business and control objectives. IBM's control objectives fall into five broad categories:

1. compliance with external laws and regulations, as well as IBM policies and procedures
2. accomplishment of business objectives
3. reliable information for financial reporting and decision making
4. efficient operations, and
5. safeguarding both intellectual and physical assets.

The control assessment questions are intended to address process objectives from the categories above and the risks to achieving those objectives. Objectives and risks in the actual process under review may differ based on organizational, operational, regulatory, and economic factors. As such, individuals performing the engagement must formulate a test strategy based on risks relative to the actual process under review, regardless of whether the risks are identified within this program.

DATE CHANGED	SECTION #	SUBTITLE IN SECTION	CHANGED BY (NAME)	COMMENTS
April 2023	Cybersecurity & Data Protection	GO006.S	Don Dobrzelewski	Added Privacy Testing
February 2023	All	All	CA&AS	Converted from Notes into a Word document and into a Box folder

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

Table of Contents	
PROCESS AND OBJECTIVE	4
PLANNING: Audit Program Risk Alignment.....	5
PLANNING: Data Analysis.....	6
PLANNING: Reference Material	8
PLANNING: Fraud Template.....	11
CONTROL ASSESSMENT QUESTIONS	12
Key Control Question: 1. Plan Valuation Reconciliation	12
Primary Test: Plan Valuation (FA001.P)	13
Primary Test: Asset Valuation – Commingled Funds (FA002.P).....	14
Primary Test: Asset Allocation and Rebalancing (FA003.P)	15
Secondary Test: Asset Valuation – Retirement Fund In-House Trading (FA004.S).....	16
Secondary Test: Asset Valuation – Private Real Estate Investments (FA005.S).....	17
Secondary Test: Asset Valuation – Private Investments (FA006.S)	18
Key Control Question: 2. Cash Movements and Controls.....	19
Primary Test: Cash Movement within and Outside Pension Funds (CM001.P).....	20
Primary Test: Reconciliations – Cash Accounts (CM002.P).....	21
Secondary Test: Funding Management (CM003.S).....	22
Primary Test: Invest DB Contributions (CM004.P)	23
Key Control Question: 3. Vendor Management.....	24
Primary Test: Administer Contracts (VM001.P)	25
Primary Test: Fees and Expenses (VM002.P).....	26
Secondary Test: Investment Manager Selection and Termination (VM003.S).....	27
Primary Test: Investment Manager Compliance (VM004.P)	28
Primary Test: Performance (VM005.P)	29
Secondary Test: Commission Recapture (VM006.S).....	30
Key Control Question: 4. Governance.....	31
Primary Test: Government and Regulatory Reporting (GO001.P).....	32
Secondary Test: Separation of Duties (GO002.S).....	33
Primary Test: Authorizations (GO003.P)	34
Secondary Test: Derivatives (GO004.S).....	35
Secondary Test: Policies, Reporting, and Measurements (GO005.S)	36
Secondary Test: Cybersecurity and Data Protection (GO006.S)	37
Secondary Test: Counterparty Risk (GO007.S).....	39

PENSION ASSET MANAGEMENT
AUDIT PROGRAM #14-00-00

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

PROCESS AND OBJECTIVE

Definition

For the purpose of this internal audit program, Pension Asset Management (PAM) encompasses processes which relate to the fund's fiduciary responsibility in both defined benefit (DB) and defined contribution (DC) plans. Depending on the nature of the plan, these responsibilities can include: plan valuations, investment manager selection and compliance, investment strategy, asset allocation, performance, reconciliations of cash and investment accounts, fees and contract administration, and governance, inclusive of board responsibilities.

Pension plans have two separate audit programs, pension asset management and pension benefit management. While similarities exist between benefit and asset processes, tests for PAM should focus on controls of the investments and the protection of plan assets.

Objective

- To determine whether an effective system of administrative and financial controls exists to protect Pension Fund assets from loss or misappropriation.
- To validate that transactions are recorded in compliance with country regulations and IBM guidelines.
- To ensure Pension Fund transactions are executed in accordance with management authorizations and portfolio fund mandates.
- To verify that consultants, custodians, and other service providers are properly selected and efficiently monitored through contract management.
- To validate there is sufficient focus on account reconciliations, both internal and external as applicable to the funds structure, and separation of duties.
- To ensure that assets valuations, allocations, and performance were properly reflected for each fund.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

PLANNING: Audit Program Risk Alignment

Pension Asset Management

Defined Risk Area	Audit Risk Level	Key Control Question	Test Number
Plan Valuation and Reconciliations	High	Plan Valuation Reconciliation	FA001.P, FA002.P, FA004.S, FA005.S, FA006.S
External Cash Movement	High	Cash Movements and Controls	CM001.P, CM002.P
Funding Management and Invest Defined Benefit Contributions	High	Cash Movements and Controls	CM003.S, CM004.P
Asset Allocation Rebalancing	High	Plan Valuation Reconciliation	FA003.P
Vendor Management (Administer Contracts)	Medium	Vendor Management	VM001.P, VM002.P, VM003.S, VM006.S
Access Management and Data Protection	Medium	Governance	GO006.S
Fund Performance Review and Attribution	Medium	Vendor Management	VM005.P
Investment Manager Compliance	Low	Vendor Management	VM004.P
Intra-fund Transfers	Low	Cash Movements and Controls	CM001.P
Compliance (Derivatives, Securities Lending, and Foreign Account Tax Compliance Act (FATCA))	Low	Governance	GO004.S, GO005.S, GO007.S

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

PLANNING: Data Analysis

Data analysis should be a part of every engagement where data is available in databases or data warehouses that can be accessed through query programs. This concept enhances the risk-based auditing approach, makes the audit process more efficient, and increases the productivity of the audit team. When the audit team does not have the skills required to perform these tasks, assistance should be sought from the Technology team.

All data used for analysis must be reconciled to an independent source so that the auditor has confidence that the universe is complete.

The [Data Analysis engagement procedures in the Audit Manual](#) (link internal to CA&AS members only) provide further suggestions.

This table shows what data can be reviewed and analysis techniques.

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Asset Valuation	Review units and assets to validate they have been reconciled accurately at a fund level. Were the assets and units assigned to the specific fund valued properly.	The purchase price of the underlying assets and units could not be supported to the fund value.	Asset valuation could be incorrect
Investment Strategy	Review investments and validate that they are consistent with Pension Board or Investment Committee authorizations and Country regulatory authorities.	Investments are inconsistent with Pension Board or Investment Committee authorizations or inconsistent with country regulations.	Increased risk to return on assets and non-compliance with country regulations.
Manager Selection and Portfolio Analysis	Review the manager search process to ensure due diligence was performed when selecting managers. Appropriate manager guidelines were followed, and contract was reviewed. Also, review manager retention.	Retention of Investment managers who consistently underperform against their benchmark.	Increased risk to the return on assets and possible conflicts of interest.
Investment Manager Performance	Review investment performance against investment benchmarks. Select investment managers who consistently under or over perform against the benchmark for further review during the audit.	Consistently reflects Under or Over performance against the benchmark.	Increased risk to return on assets, or possible inaccuracies with reported investment returns, or possible investments made outside of compliance guidelines

PENSION ASSET MANAGEMENT AUDIT PROGRAM #14-00-00

PLANNING: Data Analysis (Continued)

Data to be Analyzed	Analysis to be Performed	Possible Anomalies	Concern
Compliance results	Review compliance results for completeness and compliance failures. Select investment managers who have multiple failures for additional review.	Investments are made that are inconsistent with IBM compliance parameters.	Investment manager operating outside of intended strategy could expose assets to unnecessary risks.
Fees and Expenses	Review fees for investment managers and fund expenses to ensure accuracy.	Investment manager fees are inconsistent with performance, unexplained charges to the fund, significant year to year variances, significant variances to budget.	Inaccurate asset values, inaccurate payments to investment managers or vendors.
Re-balancing	Review manager liquidation decisions, re-balancing fund transfers, and intra-fund transfers for proper execution.	Re-balancing is inconsistent with Pension Board or Investment Committee investment strategy.	Increased risk to the return on assets.

Pension Fund Management Specific Guidance

The following information is the type that would be beneficial for using queries during this audit:

- A list of all cash transactions which have taken place within and outside of the fund for each bank for a specified period (usually a six-month time frame).
- A list of all fees and expenses which have taken place within and outside of the fund for full prior year and year-to-date current year.
- ICDRs - monthly report that is given to the Investment Committee providing balances and environment stability (specific to the U.S.).

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

PLANNING: Reference Material

US/CHQ/EMEA/AP and LA

- FIN 175 - IBM Retirement funds investment management
[IBM Corporate Documents | Corporate Instruction FIN 175](#)
- FIN 101 – Control of Disbursements
[IBM Corporate Documents | Corporate Instruction FIN 101](#)
- LEG 116 – Classification and Control of IBM Information
[IBM Corporate Documents | Corporate Instruction LEG 116](#)
- Accounting Controls - See Standard for Reconciliations of Balance Sheet Accounts
[Worldwide Accounting Controls - Accounting Instructions \(ibm.com\)](#)

Glossary

ABO - Accumulated Benefit Obligation - the present value of benefits earned to date with benefits computed based on current compensation levels.

Active management - Refers to the use of a human element - such as a single manager, co-managers, or a team of managers - to actively manage a fund's portfolio. Active managers rely on analytical research, forecasts and their own judgment and experience in making investment decisions on what securities to buy, hold and sell. The opposite of active management is called passive management, better known as indexing.

Active Participant - an individual who is currently employed and covered by a plan or are earning or retaining credited service under a plan.

Basis Point - A unit that is equal to 1/100th of 1%.

Benchmark - A standard against which the performance of a security, mutual fund or investment manager can be measured.

Buy and Hold - A passive investment strategy in which an investor buys stocks and holds them for a long period of time, regardless of fluctuations in the market. An investor who employs a buy-and-hold strategy actively selects stocks, but once in a position, is not concerned with short-term price movements and technical indicators.

Cash Balance Plan - A pension plan under which an employer credits a participant's account with a set percentage of his or her yearly compensation plus interest charges. A cash balance pension plan is a defined-benefit plan. As such, the plan's funding limits, funding requirements and investment risk are based on defined-benefit requirements: as changes in the portfolio do not affect the final benefits to be received by the participant upon retirement or termination, the company solely bears all ownership of profits and losses in the portfolio.

CSA (credit support annex) - A credit support annex provides credit protection by setting forth the rules governing the mutual posting of collateral. CSAs are used in documenting collateral arrangements between two parties that trade privately negotiated (over the counter) derivative securities. The trade is documented under a standard contract called a master agreement, developed by the International Swaps and Derivatives Association (ISDA). The two parties must sign the ISDA master agreement and execute a credit support annex before they trade derivatives with each other.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

PLANNING: Reference Material (Continued)

Defined benefit - An employer-sponsored retirement plan where employee benefits are sorted out based on a formula, using factors such as salary history and duration of employment. Investment risk and portfolio management are entirely under the control of the company. There are also restrictions on when and how you can withdraw these funds without penalties - promise to pay, etc.

Defined contribution - A retirement plan wherein a certain amount or percentage of money is set aside each year by a company for the benefit of the employee. There are restrictions as to when and how you can withdraw these funds without penalties.

Derivatives - In finance, a security whose price is dependent upon or derived from one or more underlying assets. The derivative itself is merely a contract between two or more parties. Its value is determined by fluctuations in the underlying asset. The most common underlying assets include stocks, bonds, commodities, currencies, interest rates and market indexes. Most derivatives are characterized by high leverage.

Diversified fund- Investment fund across multiple market sectors or geographic regions. The broad market diversification helps to mitigate the risks in case of underperformance in one market.

DGEF - Diversified Global Equity Fund.

EAFE - Stock Index tracking the Europe, Australasia, and Far East (EAFE) stock index.

ER - excess return.

ERISA - The Employee Retirement Income Security Act of 1974 (ERISA) protects the retirement assets of Americans, by implementing rules that qualified plans must follow to ensure that plan fiduciaries do not misuse plan assets.

EROA - expected return on asset.

GSF - Global Strategy Fund.

Hedge - A means of risk protection against loss due to adverse price fluctuation by buying or selling a futures contract or option to offset a present or anticipated position or transaction in the cash market.

Hybrid Pension Plans - Employees have a choice in the mix of their contributions towards a DB or DC plan with certain salary limitations.

ICDR - Investment Committee Data Report.

Inactive Participant - an individual who is retired or separated from the company and is covered by a plan and is receiving or is entitled to receive benefits.

Index - A statistical measure of change in an economy or a securities market. In the case of financial markets, an index is an imaginary portfolio of securities representing a particular market or a portion of it. Each index has its own calculation methodology and is usually expressed in terms of a change from a base value. Thus, the percentage change is more important than the actual numeric value.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

PLANNING: Reference Material (Continued)

IR - Information Ratio.

ISDA Master Agreement - The ISDA (International Swap Dealer's Association) master agreement contains the terms, conditions and responsibilities surrounding all swap arrangements executed between two parties.

manager of managers - an investment fund that uses an investment strategy of directly selecting different investment managers and gives them mandate to make investment decisions.

OPEB - Other Post-Employment Benefits.

Passive Management - An investing strategy that mirrors a market index and does not attempt to beat the market.

PBO - Projected Benefit Obligation - The ABO increased to reflect expected future compensation.

Pension Shortfall - A situation in which a company offering employees a defined benefit plan does not have enough money set aside to meet the pension obligations to employees who will be retired in the future.

Pooled Fund- Funds from many individual investors that are aggregated for the purposes of investment, as in the case of a mutual or pension fund. Investors in pooled fund investments benefit from economies of scale, which allow for lower trading costs per dollar of investment, diversification and professional money management.

Rebalancing - The process of buying and selling investments to bring them back within the approved strategy weights.

REITS - Real Estate Investment Trust.

STRIPS - An acronym for 'separate trading of registered interest and principal securities'. Treasury STRIPS are fixed-income securities sold at a significant discount to face value and offer no interest payments because they mature at par.

TIPS - Treasury Inflation Protected Securities - A special type of Treasury note or bond that offers protection from inflation. Like other Treasuries, an inflation-indexed security pays interest every six months and pays the principal when the security matures. The difference is that the coupon payments and underlying principal are automatically increased to compensate for inflation as measured by the consumer price index (CPI). Also referred to as "Treasury inflation-indexed securities".

Tracking Error (TE) - A divergence between the price behavior of a position or a portfolio and the price behavior of a benchmark. This is often in the context of a hedge that did not work as effectively as intended, creating an unexpected profit or loss instead.

Yield - The return on investment that an investor receives from dividends or interest expressed as a percentage of the current market price of the security or, if the investor already owns the security, of the price paid. The return on stocks is usually computed by dividing the total dividends paid in the past calendar year by the price of the stock. The return on bonds is computed by dividing the interests by the price of the bond.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

PLANNING: Fraud Template

Fraud is any intentional act or omission designed to deceive others and resulting in the victim suffering a loss and/or the perpetrator achieving a gain. Fraud can be categorized into fraudulent financial reporting, misappropriation of assets, and improper or unauthorized expenditures.

Description of Fraud Risk	Typical Controls that should Detect the Fraud Risk	Testing Approach
Invalid Fees and Expenses	1. Payment Controls 2. Validity of Invoices	1. Testing of quarterly invoices to ensure the appropriate fees are being charged to the fund based on contract fee schedules 2. Testing of cash reconciliations to validate cash movements into, out of, and within the fund 3. Verify expenses charged to the funds have been approved by IBM prior to withdrawal
Invalid Investment Valuations	1. Management Performance and Valuation Reports 2. Custodian, Trustee, and record Keeper Reconciliations 3. Global Process Owner Oversight	1. Independent verification of the Net Asset Value (NAV) assigned to a given fund 2. Testing that fund valuation aligns accurately with unit pricing 3. Validation that fund unit adjustments reconcile to approved fund movements and is accurately priced
Falsifying Fund Performance	1. Management Performance Reports 2. Benchmark Attainment 3. Re-Balancing of Funds	1. Ensure the performance/ compliance reports are complete and have been approved and any variances have been identified with an action plan in place 2. Verify the appropriate benchmark is being used and if not achieved it has been documented and work in progress to attain the benchmark 3. Verify that the re-balance taking place is accurate and reviewed by management

Note: The probability and impact will vary depending on the organization/business unit that is being audited.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Plan Valuation Reconciliation

Objective:

Are fund assets protected through accurate valuations, allocations, and rebalancing activities? Are reconciliations performed between the custodian/trustee and the record keeper, as applicable? Can the stock or bond values of the underlying assets be validated against an independent source? Are controls in place to ensure movements align with plan policies for investments, contributions, purchases, and redemptions? Does the measurement system provide management and regulatory bodies accurate and timely information on fund valuation, performance, and asset allocation? Are all activities approved by the appropriate party (for example, the pension board or investment committee) prior to occurring? Are fund assets & liabilities properly reflected in the financial statements?

Risk/Exposure:

An inaccurate valuation of fund assets could result in IBM employees not receiving the correct retirement amount, IBM paying additional contributions, and/or a loss of fund assets. An incomplete allocation or rebalance approach could result in assets outside of investment policy guidelines and an inability to meet the funding obligations. Inaccurate measurements could cause sub-optimal investment management decisions and inaccurate financial reporting to internal management and regulatory bodies.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Plan Valuation Reconciliation

Primary Test: Plan Valuation (FA001.P)

Objective:

To gain assurance the assets in the plan are valued accurately through independent sources and reconciliations between suppliers and IBM management.

Approach:

Validate the following:

- The number of units and/or net asset value of a sample of the stocks and bonds were accurately valued. When possible, this should be done through an independent source.
- A reconciliation of the asset values was performed between the custodian/trustee and the investment managers with differences explained.
- There was a validation that the sum of participant assets equals the assets under management for the plan, often for DC plans. For some, this will be the custodian/trustee reconciliation with the record keeper.
- Validate the monitoring by the IBM pension team was sufficient provided assurance the values were correct (examples could include their own testing, vendor controls, or other processes).
- Note that the correct valuation of the assets should be the starting point for other primary tests, like performance, rebalancing, and compliance.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Plan Valuation Reconciliation

Primary Test: Asset Valuation – Commingled Funds (FA002.P)

Objective:

To gain assurance commingled or pooled funds are valued accurately with sufficient oversight to meet the corporate instruction FIN175 requirements.

Approach:

Once a commingled fund has been added to the portfolio, the fund becomes a subscriber to the fund offering by ownership through shares. There is a prospectus that provides the investment terms for all parties, and it is generally not possible to independently validate the value on the dates of purchases or redemptions.

Validate the following:

- The number of units was accurate.
- A reconciliation of the number of units/ values was performed between the custodian/trustee and the investment managers with differences explained.
- There was a validation that the number of units/ values of participants invested in the commingled fund is equal to the assets under management for the plan. For some, this will be the custodian/trustee reconciliation with the record keeper.
- Validate the monitoring by the IBM pension team was sufficient provided assurance the units/ values were correct (examples could include their own testing, vendor controls, or other processes).

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Plan Valuation Reconciliation

Primary Test: Asset Allocation and Rebalancing (FA003.P)

Objective:

To ensure assets were allocated and re-balanced to minimize deviation from investment policy and reflect the participant's selection, where applicable.

Approach:

The approach will vary by plan type with two examples provided:

- DC Plan Example: Life cycle funds have target allocations of underlying components. Are these underlying components at the target allocation plus or minus the tolerance?
- DB Plan Example: Generally, DB plans will have target allocations among asset classes (fixed income, equities, real estate, commodities, e.g.) for the whole plan. Are these asset classes at the target allocation plus or minus the tolerance?

General approach will validate:

- How often do they review the asset allocation within the investment policy?
- What is the process for rebalancing the asset allocation and was it documented? What is the drift range to allow cost to be considered when aligning to policy?
- Cash requirements (e.g., to fund benefit payments in a DB plan) will often be used to bring the target allocations back within tolerance by taking the cash from an over weighted asset class/fund.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Plan Valuation Reconciliation

Secondary Test: Asset Valuation – Retirement Fund In-House Trading (FA004.S)

Objective:

To determine if retirement fund in-house investment transactions are clearly identified and are executed within delegated authorization and according to corporate guidelines (FIN 175).

Approach:

Ensure that an adequate in-house trading process is in place.

- Review the process documentation utilized by the department and verify that all transactions are executed in accordance with in-house portfolio manager investment instructions.
- Based on the process, select a sample of transactions (e.g., high value portfolio manager transactions, fixed income index transactions) and determine whether:
 - Transactions were properly documented, reviewed, and approved.
 - Transactions were executed within the delegated authorizations and in accordance with guidelines.
 - Investment / Exchange rates/currency conversion were accurate.
 - Transactions were properly calculated and recorded in the ledger.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Plan Valuation Reconciliation

Secondary Test: Asset Valuation – Private Real Estate Investments (FA005.S)

Objective:

To verify if investments made in pension funds related to private real estate partnerships and direct properties were made in accordance with corporate instruction FIN175 requirements.

Approach:

Review key control processes and test for the following:

- Process procedures governing real estate investments were established and documented.
- Approvals were appropriate for the commitment of IBM funds.
- Review valuation calculations for prior year-end to determine accuracy of financial recording and reporting of investments at book and market values. Has the value of the real estate been independently verified to provide a reasonable assurance of the value?
- Review all real estate sales from the prior year and current year. Confirm gains or losses were correctly recorded to the ledger in the appropriate time period. Reconcile ledger entries to management reported values to verify their accuracy.

Note: This section is not relevant if Private Real Estate investments aren't held in the fund.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 1. Plan Valuation Reconciliation

Secondary Test: Asset Valuation – Private Investments (FA006.S)

Objective:

To verify if private investments (investments in non-publicly traded entities, such as partnerships and direct ownership), which are generally higher risk ventures, were made in accordance with corporate instruction FIN175 requirements.

Approach:

Review the following:

- Process procedures governing private investments were established and documented.
- Actions committing IBM funds were appropriately authorized and approved, including a legal contract review.
- A copy of the signed contract (by all parties) was retained for each investment.
- Review all sales of private investments from the prior year and current year. Confirm if gains or losses were correctly recorded to the ledger in the appropriate time period. Reconcile ledger entries to management- reported values to verify their accuracy.
- Review investments for correct portfolio classification.
- Review the cash disbursements process associated with fulfilling private investment capital calls (payment obligations). If appropriate, perform secondary tests on capital calls by comparing the investment contracts which identifies the total amount of IBM's commitment against payments made.
- If a private investment has not been audited, request audited financials from previous year. If partnership does not have audited financials for previous year, inquire as to why and investigate further.

Note: This section is not relevant if Private Investments aren't held in the fund.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Cash Movements and Controls

Objective:

Are ledger and bank controls in place to assure only authorized cash and asset movements within and outside of the fund are processed? Are procedures in place to reconcile the activities processed, including the opening and closing of Pension fund bank accounts (with a focus on asset related transactions)? Does the cash management policy provide reliable forecasting techniques for cash requirements and surpluses? Is available cash effectively invested and measured?

Risk/Exposure:

Cash and asset movements that are not properly authorized could result in misdirection or misappropriation of fund resources. Failure to monitor bank transactions could lead to improper or unauthorized cash movements going undetected. Lack of effective cash planning could create an environment in which surplus funds are not being promptly or properly invested resulting in reduced investment returns or overdraft costs.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Cash Movements and Controls

Primary Test: Cash Movement within and Outside Pension Funds (CM001.P)

Objective:

To determine if all cash transactions within and outside pension fund accounts are properly authorized and comply with pension policies and procedures. Ensure movements and wire transfers are properly authorized and sent/received to/from approved accounts.

Approach:

Receive the delegation of authority for verification of who is authorized to request and approve various types of transactions. Include wire or electronic transfers, along with the validation process for ensuring the right account received and/or sent the funds. Select samples that are near clip levels or that require additional reviews.

Obtain a complete listing of all cash transactions (within and outside of the fund) for a selected time period. Compare this list to an independent source (e.g., trading records, ledger, custodian bank records) to test for completeness.

Select a sample of cash movement transactions within and outside the fund, and test for the following:

- Is documentation available for all cash movements and does it support the business need for the transaction? Focus on purchases and redemptions, along with any unusual transactions.
- Are transfers of cash within the fund authorized and supported in accordance with the established delegations?
- For movements of cash to and from the fund from external sources, test that the transactions are properly authorized for the clip levels, explained, recorded in the fund accounting records, and reconciled.
- If any automatic transactions have occurred, are the reasons for such transfers documented and approved by the appropriate management?
- Obtain documentation for the electronic funds and wire transfers process for receipt and disbursement of funds and request bank statements months to determine the account authorization process was followed, the electronic transfers were approved, and the IBM confirmation process was included.
- If cash requirements are obtained through rebalancing, coordinate with the rebalance scope for determining if handled appropriately.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Cash Movements and Controls

Primary Test: Reconciliations – Cash Accounts (CM002.P)

Note: This test is related to the cash transactions resulting from the asset management of the pension plan.

Objective:

To determine if all cash account transactions are reconciled to authorized cash receipts and disbursements. For vendor administered ledgers, include reviews of unresolved reconciliation items to ensure prompt investigations and resolutions are occurring. In all cash reconciliation reviews, ensure sufficient bank controls are in place to safeguard pension assets.

Approach:

Review the process for reconciling recorded ledger cash transactions to source documentation and bank statements.

Select months during the audit period and test bank account reconciliations for the following attributes:

- Reconciliations are prepared promptly, reviewed and signed by management, and all reconciling items are aged and resolved promptly.
- Reconciliations are accurately reported in monthly management measurement or key indicator reports.
- Portfolio management reports agree to bank records.
- Review copies of approved signatories and verify against bank records to ensure only those authorized to make transactions are doing so.
- If any new bank accounts have been opened or closed, ensure authorized personnel performed the actions per the board approved pension process.

If a significant number of aged and/or unresolved reconciling items exist, select a sample of both resolved and unresolved items, and review the explanation, promptness in handling, appropriateness of management attention, and identification of its cause, including correction of process weaknesses. Any write-offs performed to handle aged activity should be supported by appropriate approvals and documentation. This should be performed on internally or externally (Vendor) reconciled accounts.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Cash Movements and Controls

Secondary Test: Funding Management (CM003.S)

Objective:

To confirm if a cash management process allows for cash to be maintained at sufficient levels to fund pension cash requirements, avoiding overdraft charges, and that surplus cash is promptly and optimally invested.

Approach:

Determine if both short-term and long-term cash planning strategies are developed and utilized by management.

Review cash account levels to validate:

- Cash balances were minimal and in compliance with the local management strategy for cash maintenance levels.
- Excess cash was invested promptly, sometimes with a sweep account.
- Any bank account in an overdraft position was reviewed by management and corrected in a timely manner.
- Excess cash is invested in overnight investments and income is accounted for appropriately?
- Where excess cash is equitized, using derivatives, ensure that derivatives are controlled in accordance with the Retirement Funds Corporate Finance Instruction.
- Where pension payments are paid by IBM, review the mechanism by which IBM reclaims the money back from the fund.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 2. Cash Movements and Controls

Primary Test: Invest DB Contributions (CM004.P)

Objective:

To confirm defined benefit (DB) contributions met regulatory requirements on pension funding. In addition, ensure contributions were deposited and invested to the correct vehicle in a timely manner.

Approach:

Determine if the country's government regulation dictate minimum funding levels for defined benefit pension plans. To do this:

- Review the government regulations specifically looking for funding requirements. If not able to determine on your own, often due to language barriers, submit a request for information with this specific question.
- Once the regulation has been obtained, review the last Pension Benefit Obligation (PBO) against the assets for the same time period, e.g., December 31st of the last year, to ensure our funding matches the requirements.

Determine if the country made any defined benefit contributions in the audit period. If any occurred, review to validate:

- The investment committee and/or board reviewed and confirmed the need for a DB contribution.
- IBM Corporate Headquarter approval was received for the funding.
- The deposit was for the amount approved and it was invested timely to the intended vehicle.
- All appropriate controls on cash into the fund were followed.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Vendor Management

Objective:

Were vendors managed appropriately from contracts, to fees, continuing to compliance, and performance? Is management monitoring the vendors to ensure they are providing the right value to IBM? Are responsibilities clearly defined with skilled providers performing the tasks?

Risk/Exposure:

Improper selection and management of vendor contracts could result in IBM not receiving the best value by not meeting contract terms and agreements. In addition, not monitoring fees or expenses could lead to cost overruns and improper reporting.

Not including sufficient guidelines and monitoring of investment managers could result in non-compliance with the framework for investment decisions, resulting in not adhering to IBM return objectives and risk limitations. Low returns on investments resulting from substandard performance by portfolio managers could require additional contributions by IBM to meet funding obligations (DB plans) or cause IBM employees to have lower account balances (DC plans).

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Vendor Management

Primary Test: Administer Contracts (VM001.P)

Objective:

Validate if contracts for investment managers and vendors were properly negotiated, timely renewed by authorized members, the contract contains terms and conditions per FIN175, and that IBM management monitored. Request and review any ISAE3402/SSAE-16 provided by vendors.

Approach:

Confirm that contracts were in place with key asset suppliers and that the contracts were:

- Selection of the vendor or investment manager included the delegated parties from procurement and the retirement board.
- Contracts were signed by authorized parties.
- Legal reviewed the contract as required by the investment policy or FIN175.
- Do contracts include all necessary clauses to protect both IBM and its current and former employees? Included, but not limited to, cancellation, data privacy, audit, and service level agreements.
- For large contracts, do data privacy clauses include a mandate that the vendors provide a ISAE3402 or SSAE-16, or an equivalent.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Vendor Management

Primary Test: Fees and Expenses (VM002.P)

Objective:

To ensure pension fees and expenses relating to the asset process are reasonable, per the contract terms, and reviewed by management. For investment manager fees, especially those withdrawn from the managed fund(s) directly, ensure the process allows sufficient review and approval to guard against unauthorized payments.

Approach:

- Review and discuss the annual forecast for the retirement fund and obtain an explanation for items over plan. Keep in mind investment manager fees are typically valuation based and should rise and fall with market fluctuations. Confirm the board reviewed the forecast per the country's investment policy and FIN175.
- Determine if fees and expenses are reviewed at a detailed enough level to contain or manage costs. Can the total population of all fees and expenses be identified, including costs charged directly against portfolio funds?
- Review accounting treatment of all fees and expenses. Verify that expenses are classified correctly and have been recorded in the appropriate time period.
- Review adequacy of disbursement controls for vendor payments to check the following:
 - Are appropriate payment authorization guidelines in place, and are they being followed?
 - Are invoices reviewed for content and to confirm they meet contractual requirements for services performed?
 - Are payments timely and in accordance with billing terms?
- For vendors that have fees charged directly to the managed funds, generally investment managers, to check for an independent calculation to validate the fee charged by the investment manager equals the contracted amounts and are not duplicated?
- Are all disbursements visible to ensure they are for valid business reasons which are appropriately recorded?

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Vendor Management

Secondary Test: Investment Manager Selection and Termination (VM003.S)

Objective:

To determine if the investment manager selection process is effective in hiring skilled and competent investors at fair value rates who achieve long term return expectations on retirement fund assets within acceptable risk levels.

Approach:

Review the methodology and approval requirements for hiring and terminating portfolio managers.

Receive a list of hired and terminated managers to review:

- Due diligence reviews were performed for each manager prior to selection or termination?
Consider the following when testing:
 - Did the review include a competitive analysis of fees and the manager's historical performance?
 - Were performance trends obtained or verified from an independent source?
 - Did the review include a check of the controls in place?
 - Does the contract include terms for reporting portfolio manager or other key personnel changes if those skillsets were a significant reason for selecting that manager?
 - Does the selection align with the overall investment policy in terms of concentration in managers, type, or size to meet the risk of the pension fund?
- Did the Pension Board review and approve the selection or termination of each manager?
- For newly hired managers, is there evidence the manager fits within the overall strategy of the fund and that their management fees are competitive?

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Vendor Management

Primary Test: Investment Manager Compliance (VM004.P)

Objective:

To ensure that contracts and guidelines exist for all portfolio managers which provide an adequate and comprehensive framework from which to make investment decisions while adhering to IBM return objectives and risk limitations.

Approach:

Identify all portfolios and associated investment managers and request contracts inclusive of guidelines to review:

- The contracts adequately document the responsibilities of the investment managers and include a fee schedule (performance based versus fixed fees).
- The guidelines are standard and consistent across all managers? Are key risks and responsibilities adequately documented, including:
 - Definition of the portfolio's "mandate"
 - Benchmark for the portfolio and expected return
 - Excess return expected by the investment manager, net of fees
 - Tracking error expected by the investment manager
 - Evaluation time horizon, e.g., "for any three-year period"
 - Investments permitted and not permitted
 - Operational requirements, e.g., reconciliation with custodian, reporting, etc.
 - Permissible cash holdings
 - Collateral requirements
 - Reporting requirements
- Do custodial prepared compliance tests exist to measure investment manager performance against guideline restrictions? If yes, receive the reports for testing. If not, what controls replace the custodian?
- Do the system templates match the contracted guidelines if compliance testing is conducted through an automated testing system?
- Is there a process to ensure transactions made by the portfolio manager are in compliance with the guidelines and management authorization? Are exceptions identified, reported, and have appropriate action taken? Test that the transaction was in compliance with manager's contract terms and manager was within his authority to make the transaction.
- Are reconciliations performed between the portfolio manager and the custodian to verify the accuracy of balances to validate compliance?
- Is there a process to identify, track, and report breakages in a timely manner, along with action plans to resolve the breakage?
- Do the contracts limit IBM's liability and do they provide IBM with the option to terminate the contract if the investment manager is in breach?
- Verify if there are regulatory requirements to report breaches to investment policy. If there are, were they met in the audit period by validating any reportable incidents?
- Were any differences or disputes between IBM and the portfolio managers resolved effectively and in a timely manner? Are there any outstanding issues still pending resolution?

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Vendor Management

Primary Test: Performance (VM005.P)

Objective:

To determine if portfolios are performing at an acceptable level of return according to fund type and established benchmark targets, support investment objectives and strategies, and are within risk tolerances highlighted in the investment policy.

Approach:

- Review the methodology used to track and evaluate fund performance. Does it ensure that the performance of all managers was reviewed?
- Identify all fund portfolios and managers for each type of fund to review:
 - The established performance benchmarks, including validation to the contract and an independent source, like online markets.
 - The market value of each fund, when publicly traded, aligns to the performance reported.
 - Pricing feeds and manual pricing activities were properly supported and in line with markets and/or established fund criteria.
 - The total asset valuation used for portfolio performance should be identical to that carried on the books for IBM accounting.
 - If the tolerance range was established, including an acceptable drift range.
- Validate whether all components of a portfolio were included in its performance measurement.
- How are the fund values independently verified to ensure results are consistent with valuation measurements?
- Verify that performance reports are reported to management on a timely basis.
- Are performance returns reviewed and consistently reported net of fees on an individual portfolio manager level?
- Is manager performance tracked against benchmark targets, contractual performance terms, and excess return targets?
- Are actions taken for sub-optimal return performance, including termination of the portfolio manager? Review performance over a relevant (typically three-five year) period of time and assess if appropriate action was taken for under-achieving portfolios.
- If the local country has requirements to notify portfolio managers that they have been placed "on watch", has the notification taken place?

PENSION ASSET MANAGEMENT AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 3. Vendor Management

Secondary Test: Commission Recapture (VM006.S)

Objective:

To determine if commission recaptures were handled properly by the investment manager?

Approach:

Establish whether the fund has a commission recapture program. If so:

- Review how commission is repaid to the fund.
- Review how the value of commission is verified, keeping in mind the potential for fraud.
- Confirm that commission was received by the fund on a timely basis to avoid the investment manager benefiting from the interest.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Governance

Objective:

To determine whether required government filings are performed accurately and timely. Were separation of duties controls in place to allow only authorized cash movements within and outside of the pension fund to be processed? In addition, ensure that all financial reporting is supported by the fund ledger, is reported to IBM management and external bodies as required, and is in accordance with corporate instructions (FIN 175). Lastly, validate investment policies were established to ensure that trading activities were consistent with current strategy.

Risk/Exposure:

Incorrect or late government filings could lead to an increase in government mandated payments, fines, penalties, increased government oversight, negative publicity, and employee dissatisfaction. An inadequate separation of duties could result in the loss of cash and assets through fraud or mismanagement. Inaccurate accounting for pension assets can result in financial misstatements. Not establishing appropriate policies could result in unauthorized investment activity, failure to meet corporate directives, and financial impacts.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Governance

Primary Test: Government and Regulatory Reporting (GO001.P)

Objective:

Determine whether all required government compliance filings are performed accurately. Furthermore, determine whether appropriate and timely corrective action had been taken to resolve any government filing exceptions.

Approach:

- Determine whether the retirement fund was audited by a public accounting firm. If yes, obtain the detailed findings reported to management. Were the findings which were communicated, consistent with a well-controlled process? Were the audit recommendations that resulted from the findings implemented?
- Receive a list of government filings requirements and evidence of when they were submitted. Select a sample to ensure: timely filing, accurate asset and liability declarations, and possible prohibited or restricted investments.
- Were there any government-imposed restrictions? If yes, ensure that restrictions were reviewed by management and adhered to.
- Were there any exceptions? Were exceptions adequately documented and explained?
- Were any penalties incurred? Were they subsequently reviewed with legal and resolved?

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Governance

Secondary Test: Separation of Duties (GO002.S)

Objective:

Ensure that a separation of duties assessment is performed and approved by the process owner or delegate annually, or more frequently as necessary. Validate that identified separation of duties conflicts are eliminated, mitigated, or accepted based on risk severity. Ensure that conflicting tasks which should be separated, but are not, have effective secondary controls in place.

Approach:

- Was the end-to-end process reviewed at least annually and at the appropriate level? Were the results documented and approved by the process owner or delegate?
- Were identified conflicts assessed for a determination? Was there supporting documentation to validate the assessment?
- If secondary controls are needed, were they identified and would they mitigate the conflict effectively?
- If financial processes are included in the end-to-end, were KCFRs defined and implemented? Were they tested timely and properly with documented results?

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Governance

Primary Test: Authorizations (GO003.P)

Objective:

To ensure Pension fund authorization levels are defined, appropriate, and included in all processes, especially those involving cash transactions.

Approach:

Review the delegation of authority granted by the Pension Board, treasury management, and local procedures to determine who is authorized to approve transactions. Test for each of the following:

- Is there a current and properly approved list of authorized IBM and non-IBM retirement fund administrators, traders, and portfolio managers which defines who is authorized to execute transactions for given clip levels?
- Is the authorization commensurate with levels of authority and responsibility?
- Are the authorization levels for selecting and approving investment instruments identified and documented?
- Are authority limits (clip levels) clearly defined?
- Is authorizations documentation provided to appropriate retirement fund administrators and custodian banks? Are specimen signatures in place? Are updates sent immediately when changes occur?
- Were authorized manager agreements and investment guidelines established at the bank prior to the flow of funds?

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Governance

Secondary Test: Derivatives (GO004.S)

Objective:

To determine whether the documented policies and guidelines defined the derivative activity within the FIN175 requirements.

Approach:

What is the local directive regarding the use and holding of derivatives? Coordinate with the auditor performing investment manager compliance to ensure their guidelines are in line with that directive. Are all derivatives identified, monitored, and reported periodically per FIN175 requirements?

Review whether:

- Guidelines existed for approved derivatives.
- Was there a clearly identified business purpose for the use of derivatives?
- Determine whether FIN175 section V derivative strategies and control requirements were met for authorized portfolios.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Governance

Secondary Test: Policies, Reporting, and Measurements (GO005.S)

Objective:

Policies and procedures were established to ensure that pension related activities were performed in accordance with approved Plan investment policies. Reporting was in accordance with Finance Instructions (FIN 175). To determine if the retirement fund financial activity results were accurately reported to IBM management and external bodies. Verify if measurement reporting provides management with accurate information to make appropriate investment decisions.

Approach:

Obtain the investment policy to verify:

- The policies and procedures for selecting the board were followed?
- Does the fund have an authorization document which allows the committee(s) and key individuals to execute the day-to-day operations of the funds? See Authorizations (GO003.P).
- Does the policy require the board meeting minutes to be clearly documented and were they?
- Compliance with corporate 175 strategies, objectives, and requirements?
- There is a documented policy for asset allocation and general investment strategies?
- For all RPC reporting scorecard items, when deviations / breakages are identified, were they reported in the RPC scorecard, if required?
- When applicable, the policy stipulates minimum measurement requirements?
- Review the financial statement activity reporting requirements for board meetings and business operations. Were the financials reported accurately? Does the annual report tie to the year-end asset value?

The audit team is expected to validate the pension fund process against the Finance Corporate Instruction 175. The validation of the Corporate Instruction should be performed using the scope area testing assigned by the audit team leader.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Governance

Secondary Test: Cybersecurity and Data Protection (GO006.S)

Objective:

Evaluate whether Pension Asset Management (PAM) data was appropriately secured and protected both within IBM and external to suppliers.

Approach:

This will not be a separate scope area; however, in all scope areas, sample testing of communications will validate that the data was appropriately protected per IBM corporate guidelines and regulatory requirements, where applicable.

Evaluate security of communications and file transfers by checking that where applicable there was encryption, password protections, no passwords were included in the same communication with protected files, and there was a need to know for shared sensitive information.

Assess the data shared for applicability with the European Union (EU) General Data Protection Regulation (GDPR). Links are included below to reference materials.

Review contracts with suppliers and contractors for their methods on assuring data privacy. Validate whether IBM requires periodic reviews, such as SSAE16 and if IBM monitors supplier protection of data and compliance with regulatory requirements. Assess whether GDPR could apply to any of the information being provided and how the supplier complies with the regulations (note it is not necessary for the supplier to be in the EU for this to apply).

Test: Privacy

Objective:

Privacy laws impose requirements on how IBM and its Clients process Personal Information (PI). The Global Privacy Control Assessment Questions are composed with two key areas of the business to help address compliance with these various high-level laws.

- **IBM as a Controller** – The Enterprise Privacy Baseline – Controller establishes the high-level requirements that IBM must meet when acting as a Controller of Personal Information (PI). That is, PI that IBM collects and processes for its own purposes, such as Business Contact Information that IBM holds on its existing or potential customers or suppliers.
- **IBM as a Processor** – The Enterprise Privacy Baseline – Processor establishes the principles and requirements that IBM must meet when acting as a Processor of Client Personal Information (PI) and applies to all products, offerings, and services (including their components) that IBM provides to Clients, regardless of whether IBM develops or re-brands them, or provides them for a fee or on a beta, trial, or no-charge basis.

Approach:

Review the Data Privacy responses provided from the Initial Data Request. Determine if IBM is Controller or Processor of PI/SPI data in the process.

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Governance

Secondary Test: Cybersecurity and Data Protection (GO006.S)

(Continued)

Testing:

IBM as Controller

If IBM is Controller, request a risk-based sample of Global Privacy Assessments for the processes and/or assets. Complete the testing from the following link: <https://ibm.ent.box.com/file/1198251968388>

IBM as Processor

If IBM is Processor, select a sample of products/offerings/services provided for the in-scope activities. Complete the testing from the following link: <https://ibm.ent.box.com/file/1198263127550>

IBM as both Controller and Processor

Test either IBM as Controller or Processor, do not test both. Consider the volume and sensitivity of the controller and processor data and select the higher risk.

A few links to corporate or regulatory guidance to assist in understanding the requirements for cybersecurity and data privacy are listed here:

- Cybersecurity Education: Security Education (ibm.com):
<https://w3.ibm.com/cybersecurity/education.html#step1>
- Data privacy at IBM: <http://w3-03.ibm.com/ibm/privacy/index.html>
- General Data Protection Regulation (GDPR): Privacy@IBM - GDPR:
<https://w3.ibm.com/ibm/privacy/gdpr>

PENSION ASSET MANAGEMENT

AUDIT PROGRAM #14-00-00

CONTROL ASSESSMENT QUESTIONS

Key Control Question: 4. Governance

Secondary Test: Counterparty Risk (GO007.S)

Objective:

Determine whether counterparties and collateral practices were evaluated, monitored, and approved for transactions in accordance with corporate instruction FIN 175 and investment manager guidelines.

Approach:

Review the process established for evaluating counterparty risk, including tracking and monitoring counterparty exposure. If present within the country, select a judgmental sample of counterparties and determine the following:

- Were counterparty risk limits established in the investment manager contract guidelines to limit exposure? If not, what was the process to ensure business activity was sufficiently allocated among counterparties in order to protect IBM assets?
- Were retirement fund activities monitored to ensure compliance with counterparty risk limits established in contract guidelines?
- Did counterparty risk limits adhere to corporate instruction FIN 175 requirements?
- Were there any identified unfavorable events? If yes, did management take appropriate action to resolve?